



March 8, 2019
Revised April 1, 2019

Brecksville-Broadview Heights City School District
6638 Mill Road
Brecksville, OH 44141
ATTN: Superintendent Joelle Magyar

Dear Mrs. Magyar:

The DiGeronimo Companies and the City of Brecksville have been working collaboratively over the past several years to turn the former Veterans Affairs (VA) Hospital site into an economic asset for the City and the entire region. As a result of our collective efforts, the site is currently being remediated, buildings are ready to be demolished and the vision to turn the site into a unique, mixed-use development – to be named Valor Acres – can start to become a reality.

In order to keep the positive momentum, we are requesting that the site be eligible for Tax Increment Financing (TIF), which is a common tool utilized for transformative economic development projects. The passage of a TIF is critical in turning the VA site from a non-property tax-producing asset into an economic engine that will drive businesses and tax revenues to the City of Brecksville as well as the District.

We have included some summary information on TIF's that have been enacted in communities such as Brecksville along with our specific request. We have done our best to propose a transaction structure that is either comparable or more favorable to the District than other similar transactions. This is especially challenging given that the property has not generated any property taxes in over 50 years.

In addition to our request, we have included a sample timeline for legislative action. We are committed to a transparent and open process that engages as many stakeholders as necessary. Lastly, we have included an economic analysis that shows the substantial positive impact the Valor Acres development will have on the District's finances.

We look forward to getting together in person to discuss how best to partner on this development.

Sincerely,

Kevin DiGeronimo

Kevin DiGeronimo
President
DiGeronimo Development

cc: Mayor Hruby, City of Brecksville

Summary of Comparable TIFs with Valor Acres Request

Valor Acres Project
For discussion purposes only



REQUEST

School District	Orange	Westlake	Dublin	Brecksville
Project	Pinecrest	Crocker Park	Bridge Park	Valor Acres
Year Enacted	2015	2011	2014	Proposed
Pre-development tax revenues	\$107K	\$28K	Unknown	\$0
Duration	30 years	30 years	30 years	30 years
Total Investment	\$240M	\$188M	\$325M	\$116M – Phase I \$360M+ Future
Percent of would-be revenues	25%	25%	0% 0-15 years; 10% years 16 – 30	25%
Percent of new levies	100%	0%	0%	100%
Up-front payment/donation	\$300,000	None	None	\$250,000
Minimum Guarantee	\$10M investment	\$455K/year	\$1.5M pmt from City	\$75M investment

Sources: KeyBank Capital Markets, Calfee Halter & Griswold LLP and internal research

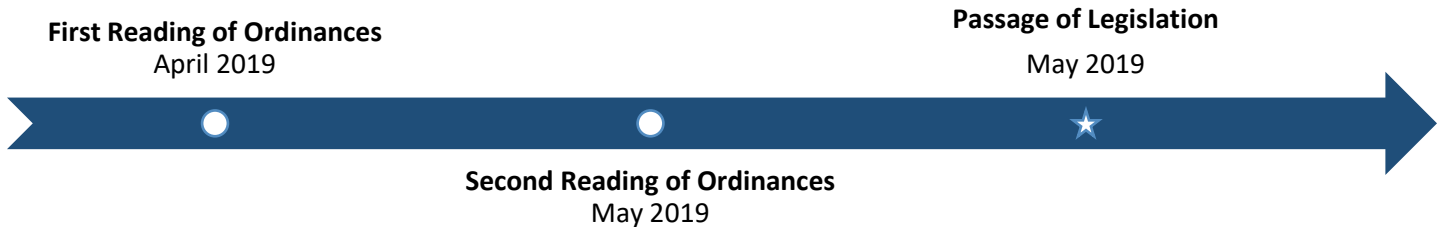
Timeline of Legislative Actions

Valor Acres Project
For discussion purposes only

CITY OF BRECKSVILLE

Passage of TWO (2) Ordinances:

- 1) Ordinance creating a 30-year, 100% exemption for Phase I under ORC 5709.41
 - a. To be used for public improvements and assist in acquiring, constructing, improving and furnishing and equipping real property for economic development
- 2) Ordinance creating a 30-year, 100% exemption for future phases
 - a. To be used for public infrastructure improvements and begins when each assessed value exceeds \$500,000 in new construction
- 3) Future ordinances will be required if City of Brecksville is bond issuer



BRECKSVILLE-BROADVIEW HEIGHTS CITY SCHOOL DISTRICT

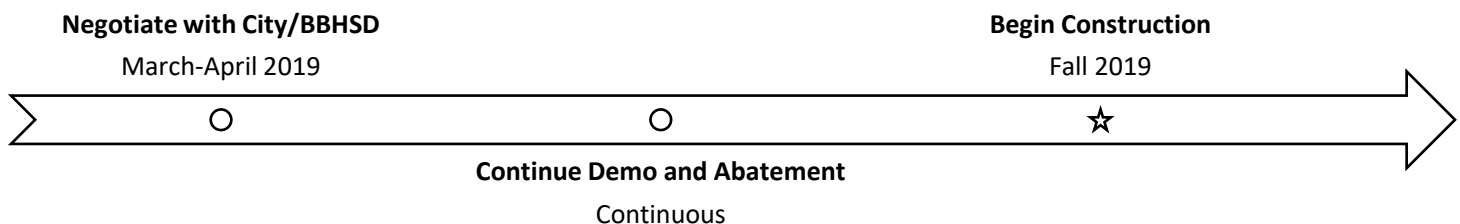
Passage of a Resolution authorizing the Compensation Agreement with City of Brecksville and DiGeronimo Companies:

- 1) Approves the TIF Ordinances
- 2) Outlines compensation to school district



DIGERONIMO COMPANIES

Continue to finalize site masterplan, solicit tenants and prepare site for construction:



Projected Property Tax Revenues
BRECKSVILLE-BROADVIEW HEIGHTS SCHOOL DISTRICT

Valor Acres Project
For discussion purposes only

PHASE I

Current BBHSD Property Tax Revenue Generation	\$ -	
Market Value of Land upon Transfer	\$2,992,982	
BBHSD Tax Generation – Land		\$56,239
Projected Phase I Investment	\$116,000,000	
BBHSD Future Tax Revenues under TIF proposal		<u>\$350,930</u>
TOTAL <u>ANNUAL</u> NEW TAX REVENUE FOR BBHSD – PHASE I		\$407,170

FUTURE PHASES

Current BBHSD Tax Generation	\$ -	
Market Value of Land upon Transfer	\$9,524,059	
BBHSD Tax Generation – Land		\$164,644
Future Phases Investment	\$360,425,000	
BBHSD Future Tax Revenues under TIF proposal		\$1,090,380
TOTAL <u>ANNUAL</u> NEW TAX REVENUE FOR BBHSD – Future PHASES		\$1,225,025
GRAND TOTAL – NEW TAX REVENUE – ALL PHASES		<u>\$1,662,195</u>

Projected Property Tax Revenues to BBHSD

Valor Acres Project

Estimates as of April 1, 2019

DiGERONIMO
COMPANIES

Tax Year 2018 (collection year 2019) Property Taxes - Millage Rates	Tax Rate	Effective Rate
Cuyahoga County + Other	23.93	22.29
Brecksville-Broadview Heights School District	82.79	49.39
Cuyahoga Valley JVSD	2.00	2.00
City of Brecksville	8.21	8.21
Total BBHSD Millage	116.93	81.89

Source: DTE 515, State of Ohio

PHASE I LAND VALUE			
Current Land Market Value	\$	12,777,300	
Total Development Acres		98.189	
Market Value per Acre	\$	130,130	
Phase I Acreage		25	
Phase I Market Value	\$	3,253,241	
Phase I Assessed Value	35%	\$ 1,138,634	
BBHSD Base Taxes Upon Transfer	49.39		\$ 56,239

PHASE I DEVELOPMENT			
Projected Phase I Investment, including soft costs	\$	116,000,000	
Projected Phase I Market Value	70%	\$ 81,200,000	
Projected Phase I Assessed Value	35%	\$ 28,420,000	
BBHSD Millage	49.39	\$ 1,403,722	
25% Revenues to BBHSD	25%		\$ 350,930
TOTAL ANNUAL REVENUES TO BBHSD UPON PHASE I COMPLETION			\$ 407,170

FUTURE DEVELOPMENT PHASES			
Current Land Market Value	\$	12,777,300	
Total Development Acres		98.189	
Market Value per Acre	\$	130,130	
Future Phases Acreage		73	
Future Phases Market Value	\$	9,524,059	
Future Phases Assessed Value	35%	\$ 3,333,421	
BBHSD Base Taxes Upon Transfer	49.39		\$ 164,644
Future Phases Investment, including soft costs	\$	360,425,000	
Future Phases Market Value	70%	\$ 252,297,500	
Future Phase Assessed Value	35%	\$ 88,304,125	
BBHSD Millage	49.39	\$ 4,361,521	
25% Revenues to BBHSD	25%		\$ 1,090,380
TOTAL ANNUAL NEW TAX REVENUE - FUTURE PHASES			\$ 1,255,025

GRAND TOTAL - NEW TAX REVENUE - ALL PHASES	\$ 1,662,195
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DiGERONIMO

COMPANIES

PROJECT: **Valor Acres**
 PHASE: **Infrastructure**
 DATE: **April 1, 2019**

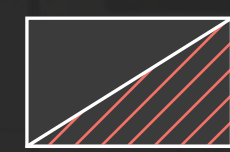
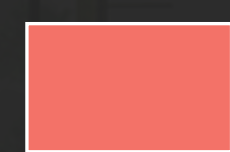
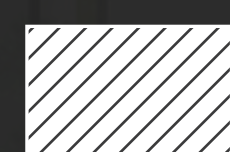
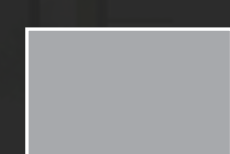
Phase One

DESCRIPTION	Estimated Cost	
Signage	\$	1,008,970
Bridges	\$	825,892
Site Wifi/Camera/Data	\$	405,882
Earth Work Only	\$	2,816,824
Paving	\$	4,833,247
Site Lighting	\$	2,440,165
Site Utilities	\$	4,918,482
Landscape & Site Amenities	\$	2,756,753
Gas Line Extension Fee	\$	184,000
Water Line Extension Fees	\$	161,000
Electric Extension Fees	\$	1,725,000
Data Extension Fees	\$	575,000
Parking Structure	\$	8,234,640
Legal Fees	\$	372,000
Design & Engineering	\$	1,500,000
Insurances	\$	138,000
Testing	\$	162,000
Permits	\$	330,000
Exterior Ring Road Part 1 (Miller Rd Interchange Included)	\$	1,620,400
TOTAL	\$	35,008,255

Other Infrastructure Considerations

Exterior Ring Road - Balance in Future Phase	\$	3,879,600
77 Interchange Ramp Work	\$	5,500,000
Retention Pond	\$	750,000
TOTAL COST	\$	10,129,600

Total Infrastructure Uses **\$** **45,137,855**

-  RESIDENTIAL 200 UNITS
RETAIL 31,000sf
-  OFFICE 160,000sf
RETAIL 28,000sf
-  STAND-ALONE RETAIL/GROCERY
91,000sf (40,000sf Grocery)
-  HOSPITALITY 120 ROOMS
-  COVERED/GARAGE 304 SPACES
SURFACE 843 SPACES

- 1 GROCERY 40,000sf
- 2 RETAIL 31,000sf
- 3 AMENITY DECK (ABOVE RETAIL)
- 4 LUXURY RESIDENTIAL
(ABOVE RETAIL) 150 UNITS
- 5 COVERED GARAGE 304 SPACES
- 6 SINGLE STORY RETAIL 20,000sf
- 7 LUXURY RESIDENTIAL 50 UNITS
- 8 OFFICE 80,000sf
- 9 OFFICE 80,000sf
- 10 SINGLE STORY RETAIL 21,000sf
- 11 CONFERENCE CENTER 15,000sf
- 12 HOTEL 120 ROOMS
- 13 RETAIL 10,000sf

